Revision Date:
February 1, 2025

Background:
All reasonable steps must be taken to correct promptly any overpayment/underpayment.

Purpose:
The purpose of this section is to provide mandatory inclusion overpayment/underpayment requirements. This material revision is for Sunset Date review and to update the section to the current format. No policy or procedure changes have been made.

Policy:
Mandatory Inclusion
Once it becomes known that a person is living with the Assistance Unit (AU), a determination must be made as to whether that individual is a mandatory member of the AU. Following household composition changes, Semi-Annual Reporting (SAR) AUs must report the changes in the next SAR 7 Eligibility Status Report or redetermination. Annual Reporting/Child Only (AR/CO) AUs are required to report the changes mid-period.

Reinforming the AU
Upon discovery, form *CW 87 Reinforming Letter/Add A Person* must be sent to the family with the appropriate Statement of Facts (CW 8 or CW 8A), to notify the AU of the mandatory inclusion requirement to have their ongoing eligibility determined.

Retroactive Period
The retroactive period begins with the date the person was required to be included in the AU and ending with the date the AU was reinformed.

Redetermining Eligibility/Recomputing Grant
The AU's eligibility and grant must be redetermined/recomputed for each month the person was required to be included in the AU but was not included. The person's income, resources, and needs must be used when making this redetermination. The redetermination/reinforming date is the date the AU was informed (when the CW 87 was mailed) that the additional person is required to be in the AU.

Overpayment
Except as noted in CalWORKs Program Guide (CPG) 44-350.A, overpayments must be established for each month the person was required to be included in the AU (in accordance with SAR-AR/CO rules) but was not. Overpayment recovery must be initiated, as specified in CPG 44-350.G Overpayment Recovery, for any month in which aid was overpaid.

Underpayment
Underpayments occur when the AU receives less than the amount to which they are entitled. An underpayment must be corrected in accordance with the regulations in effect on the date of discovery. Underpayment will be made only for months in which all technical conditions of eligibility are met.

Technical conditions of eligibility are considered to be met as of the date the person who was required to be included in the AU provided:

- The person is cooperating in meeting those conditions.
- The caretaker relative has fulfilled his/her reporting responsibilities with regard to making timely and accurate reports of AU composition.

No underpayment exists for any month in which the AU failed to request aid for an additional person or to report their presence in the home.

Procedure:
None.

References:
Eligibility and Assistance Standards (EAS) 44-355.1.
All County Letter (ACL) No. 16-120.

Sunset Date:
This policy will be reviewed for continuance by February 28, 2028.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services